this investment as fee, you actually get a net return of 8 per cent. Now, if inflation prevails at 7 per cent, you barely manage to retain the value of your investment.

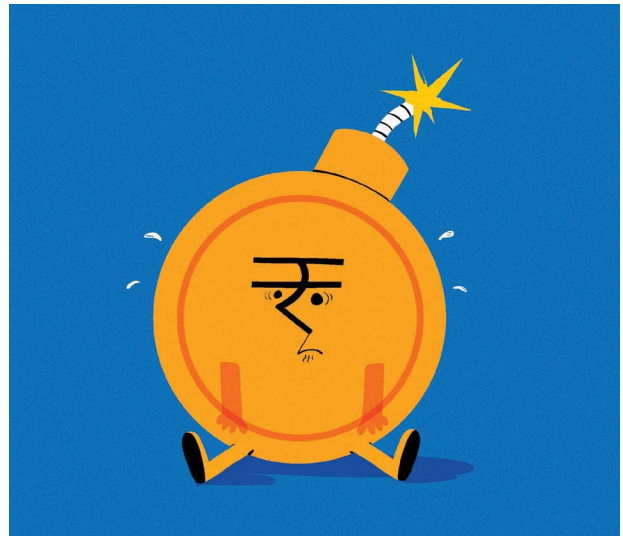
Develop the habit of having a clear picture of what is happening with your money. Tracking your spending can help you quickly identify problem areas you can improve on. Likewise, develop the habit of knowing the fees you pay for financial products and services such as insurance, investment, loans and financial planning services. A difference of even 1 per cent charge on the fee could be the difference between you achieving your financial goal or missing out.

HABIT 13

LEARN A NEW MONEY SKILL

Learning is a lifelong endeavour and it is a must-have habit to improve yourself. One lesson that must stay with everyone is the need to continually pick up new skills, develop existing ones, and tweak your habits to get the best possible results. Instead of taking umbrage and saying that you don't understand finances, learn about personal finance because it is unique to you and something that can help you manage your financial life.

There are many online and offline resources to learn about money skills. Likewise, take advantage of the knowledge and wisdom of experts and people who have lived a financially successful life. Make it a habit to understand new financial instruments, their benefits and how they could be of use to you. More importantly, when dealing with financial intermediaries (banks and wealth managers), ask them questions that can help you understand what they are suggesting to you. The habit of questioning what you know will be useful when dealing with your hard-earned money.



THE LONGER YOU CARRY DEBT, THE MORE YOU WILL PAY IN INTEREST; THAT'S MONEY YOU COULD INSTEAD DIRECT TOWARD OTHER GOALS

HABIT 14

SAVOUR WHAT YOU HAVE

Sometimes, it is a good habit to sit back and appreciate what you have. Years of working hard in forming habits that have enabled you to acquire financial assets is something to savour. The lesson is also in being happy with what you have than trying to acquire more things to be happy. Some people trade their old car every few years to meet peer pressure and to match up to their jobs and professions. If you want to be financially stable, you need to stick to the first habit on this list (#live within your means).

If you have more money than you need, look for ways to make an impact on others' lives. Give to charity or fund causes that are close to you. Likewise, splurge when you feel it is worth it and when the occasion calls for it. With age and time, you learn the difference between healthy splurging and reckless spending. For instance, you may wish to splurge on a momentous milestone in your life such as a silver wedding anniversary or a career jump that you had been waiting for. Make it a habit to pamper yourself every once in a while, especially when you know that doing so will not derail your financial goals and commitments.

The good thing for you is that you have already embarked on the journey to adopt better money habits by finding out how you can start. New habits in any form can be intimidating at times, but with these small changes, you can work toward big results. You may even enjoy some of the new habits you develop along the way. The truth is, you are not going to be perfect all the time in adapting to these habits. So, expect mistakes to occur, but work towards minimising them.

Importantly, be kind to yourself when you do slip up or make impulse purchases. The idea is to recognise the bad habits and work towards eliminating them. Moreover, how old you are and how long you have had bad money habits will be a factor in how hard it will be for you to break them and build better ones.

This list of 14 financial habits will help you become financially stable and not go broke. You may not be able to stay with all of them; some of you may not even need to, as you are already following some of the good habits. Remember: as you build good money habits, you will quickly see how your bank account is growing and how it is leading you to financial success. Whatever your state, pick a few of these habits and watch your finances get better. ■